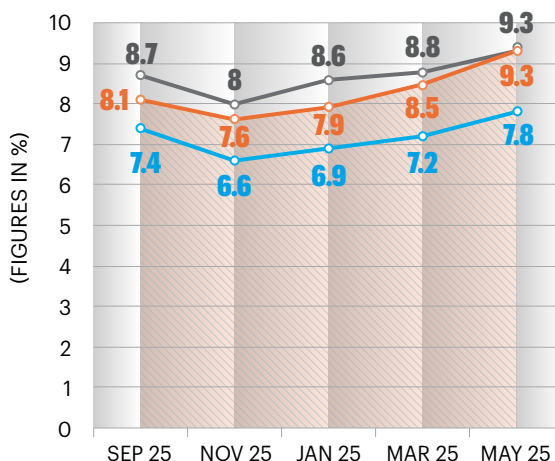




PHOTO BY ARUN KUMAR

MEDIAN INFLATION RATE

● Inflationary expectations on the rise



● Current ● Three-month projection
● One-year projection

SOURCE RBI

whom such price rise tends to have a significant impact,” he says.

While people in general tend to complain about prices going up, Sadagopan says that in recent months, there have been situations where clients are uncertain whether they will continue to have a job in the next three to six months due to issues like technology changes and AI. “Job losses are definitely happening,” he notes.

This was also flagged by Manish Tiwary, Chairman and Managing Director of Nestlé India at the Citi India Conference 2026 in early June, where he noted that while India’s consumption growth remains intact, the urban middle class is facing inflationary pressures while real earnings have not kept pace.

PRICES GOING UP

Recent commentary and data also show that prices have been increasing even though energy costs are now cooling due to the interim peace deal in West Asia.

Retail inflation as measured by the Consumer Price Index breached the RBI’s 4% target in June and rose to 4.38% with inflation in the food and beverage basket rising to 5.05%.

The Centre had begun passing higher global energy prices to consumers. Heatwaves and then the monsoons have also led to a spike in prices of certain commodities. For instance, ginger and tomatoes were amongst the top five items that saw the highest inflation in June.

Forward looking surveys by

the RBI are also showing a weakness in consumer sentiments and an uptick in inflationary expectations. In the latest surveys undertaken in May, both urban and rural consumer confidence weakened while inflation expectations of households edged up for the next three months as well as the one-year period.

Reports note mixed trends in terms of pricing. “Input cost trends remain mixed, with agri commodities largely stable, beverage inputs witnessing divergent trends, edible oils remaining elevated, and crude-linked packaging costs easing sequentially,” said a recent report by brokerage firm Equirus Securities on raw material input prices for FMCGs.